LNG will lead Canada’s export diversification

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Energy is Canada’s best opportunity for export diversification. Carney has pledged to make Canada an “energy superpower” as part of efforts to reduce ||||||||||||||||

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LNG offers Canada's strongest path away from US export dependence

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LNG Canada's Phase 2 expansion and faster federal approvals will likely make LNG the largest source of Canadian export diversification.
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Crude oil export diversification will remain limited until the completion of the Pacific Link pipeline, which will not carry oil before the early 2030s.
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Prime Minister Mark Carney will likely achieve faster diversification in energy exports than in industrial goods, with steel, forest products, and autos lagging.

Energy is Canada’s best opportunity for export diversification. Carney has pledged to make Canada an “energy superpower” as part of efforts to reduce economic dependence on the US (see: Carney’s variable geometry will supplement, not replace, Canada’s US ties , 26 March 2026). The combination of overseas demand, expanding Pacific Coast access, and the relative ease of increasing producer output is bullish for the sector. Already, Canadian energy exports to non-US markets rose 22.3% to 28.8 billion Canadian dollars in 2025, owing to new transportation and production capacity.

Metals have some room to follow, while forest products face higher freight costs, and autos remain tied to North American production. The pace of change will depend on whether new infrastructure can earn competitive returns—and whether investors will finance it.

LNG will likely see the largest shift. Canada exported its first LNG cargo in mid-2025 from the LNG Canada facility in Kitimat, British Columbia. Although Canada is the world's fifth-largest natural gas producer, nearly 100% of its exports previously went by pipeline to the US—LNG today represents roughly 3% of total gas exports. Proposed projects could send up to 55% to non-US markets by the mid-2030s, though that is a plausible ceiling contingent on most projects currently at or near the final investment decision (FID) stage—Phase 2, Ksi Lisims, Cedar, and Woodfibre—coming online on schedule, rather than the basecase.

Carney and Energy Minister Tim Hodgson are pushing to accelerate LNG development: Ottawa is speeding up approvals for projects it deems in the national interest, and LNG Canada took its Phase 2

FID on 29 September, which would double output capacity to 28 million metric tons per year at a cost of over C$30 billion. Key risks include labor and materials inflation, Coastal GasLink feedstock capacity, and a softening in Asian spot prices that could weaken offtake commitments.

Exports to Europe face infrastructure bottlenecks and regulatory hurdles. Canada and the EU both hope to develop Canadian LNG exports. High costs for any project (e.g., Port Churchill, Labrador) could make Canadian production and export to Europe uncompetitive. Europe's stiff environmental regulation (e.g., methane emissions) and tight timelines to meet Net Zero 2050 goals pose significant development challenges.

Canada and the EU could nonetheless support modest-sized projects that can be developed on reasonable timelines as part of their efforts to move closer together. LNG will likely come up at the EU-Canada Summit scheduled for 23-30 October in Montreal (see: Shared political ambition will drive enhanced EU strategic partnership , 17 September 2026).

Crude oil export diversification will be more limited. More than 95% of Canadian crude exports went to the US before the Trans Mountain expansion opened in 2024, which increased pipeline capacity by almost 600,000 barrels per day (bpd). Trans Mountain is the only major pipeline connecting Alberta's oil sands to the Pacific coast and overseas markets. More Pacific coast capacity would expand sales to Asia and increase producers' bargaining power with US buyers.

Current Trans Mountain optimization projects could add about 300,000 bpd, roughly a third more capacity, by the end of 2028. A new pipeline is also possible. On 1 October, Ottawa designated the proposed Pacific Link pipeline, projected to carry up to 1 million bpd, a project of national interest. Even if approved, built, and backed by committed shippers, the Pacific Link will not carry oil before the early 2030s.

Industrial producers will struggle to reorient exports. US Section 232 tariffs have hit these producers hard. Aluminum can be shipped overseas without changing its production model: Canadian exports of aluminum products to non-US markets rose from 738 million Canadian dollars in 2024 to 2.1 billion Canadian dollars in 2025, though the US still took the bulk of exports. Sustaining that shift will depend on customer demand and margins after freight costs. Steel producers have struggled to find alternative buyers in an oversupplied global market; the value of Canadian iron and steel exports fell 27% in 2025, against 5% for aluminum. Forest products can also reach alternative buyers, but distance weighs more heavily on bulky goods.

Autos have the least flexibility (see: Auto sector most exposed in prolonged North American trade shift , 30 June 2026). The US accounted for 94% of Canada's motor vehicle and parts exports in 2024, as automakers organize assembly schedules, suppliers, and model decisions around North America. Firms have already begun responding to US trade risk by changing where they invest within that system rather than redirecting Canadian output overseas.

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